Practice workbook · Economies and diseconomies of scale

Meaning of economies of scale; internal types (purchasing, marketing, technical, financial, managerial, risk-bearing) and external types (skilled labour, infrastructure, suppliers); diseconomies (bureaucracy, communication, control, motivation); and the LRAC curve showing both and the most efficient point.

24 question parts: 1 worked-example retry and 23 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-07

1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

4 Figure 3 shows the costs to a firm of running a machine to produce an order of goods.

Purchase price of machine ($)	Electricity ($ per hour)	Production time (hours)	Insurance ($)
1 036	0.45	19	17

Figure 3

(a) Calculate the **total variable costs** of this order for the firm.
You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

A project to update the infrastructure and develop new routes along Indian railways has been in progress for a number of years. One part of the plan is to expand the rail network between Hyderabad and Karnataka.

The expanded railway network will provide more services for passengers, along with more freight trains. This will mean more raw materials, including cement, iron ore and steel can be transported.

(b) With reference to the data above and your knowledge of economics, analyse the impact of external economies of scale on construction firms in India.

(6)

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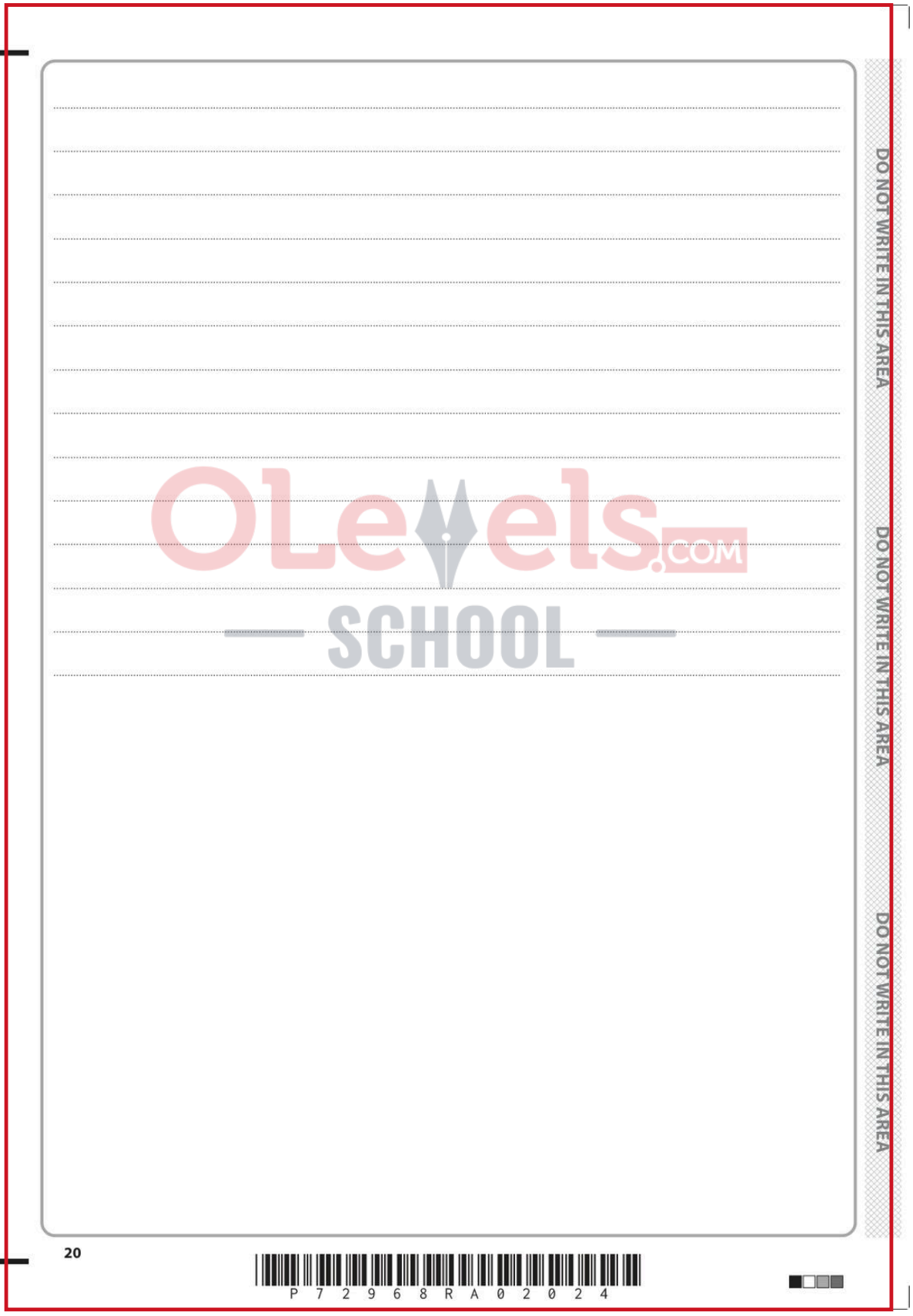
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1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

In 2023, the Egyptian Government raised the price it paid for wheat to encourage farmers to increase production.

Wheat farmers face the difficulty of a limited amount of land available for agriculture. However, there are government programmes including land reclamation and guidance for farmers on both the use of fertiliser and irrigation systems.

As well as having a limited amount of land, many farmers are only familiar with traditional methods of farming and do not have the skills or the finance to change to new methods.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which these government programmes may affect farming productivity in a country such as Egypt.

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

(c) Using the diagram below, draw the effects of a minimum wage (W_1) being set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

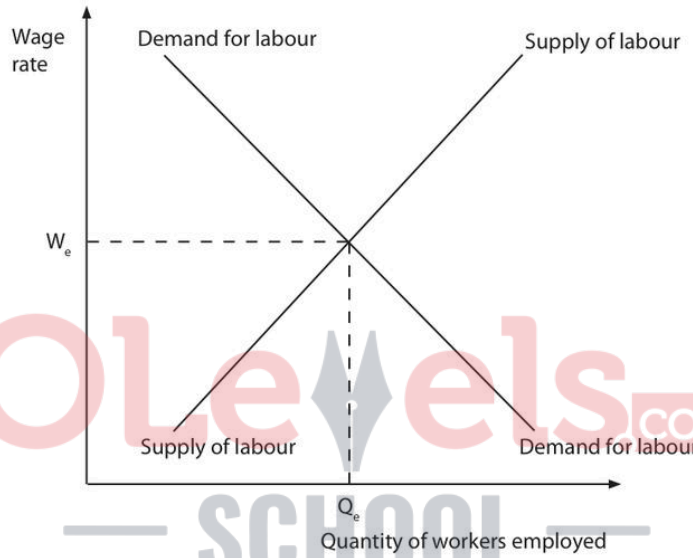


Figure 5

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P 6 0 7 4 9 A 0 1 2 2 0

2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 In January 2018, the minimum wage in Andorra increased to €5.87 per hour.

(a) Calculate the **monthly gross income** of a worker in Andorra, employed for 175 hours per month and paid at the minimum wage. You are advised to show your working.

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20

P 5 8 2 7 6 A 0 2 0 2 8

3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

Sky Team is a group of 19 airlines, including Delta Airlines, KLM, Air France and China Airlines that share operating facilities and cooperate when setting flight routes. This allows more choice for passengers. Vietnam Airlines is a small airline that became a member of Sky Team in 2010. It was the first Southeast Asian airline to join Sky Team and has become more well-known to air passengers as a result of the group's advertising campaigns.

(b) With reference to the data above and your knowledge of economics, analyse how a smaller airline may benefit from internal economies of scale by joining a group such as Sky Team.

(6)

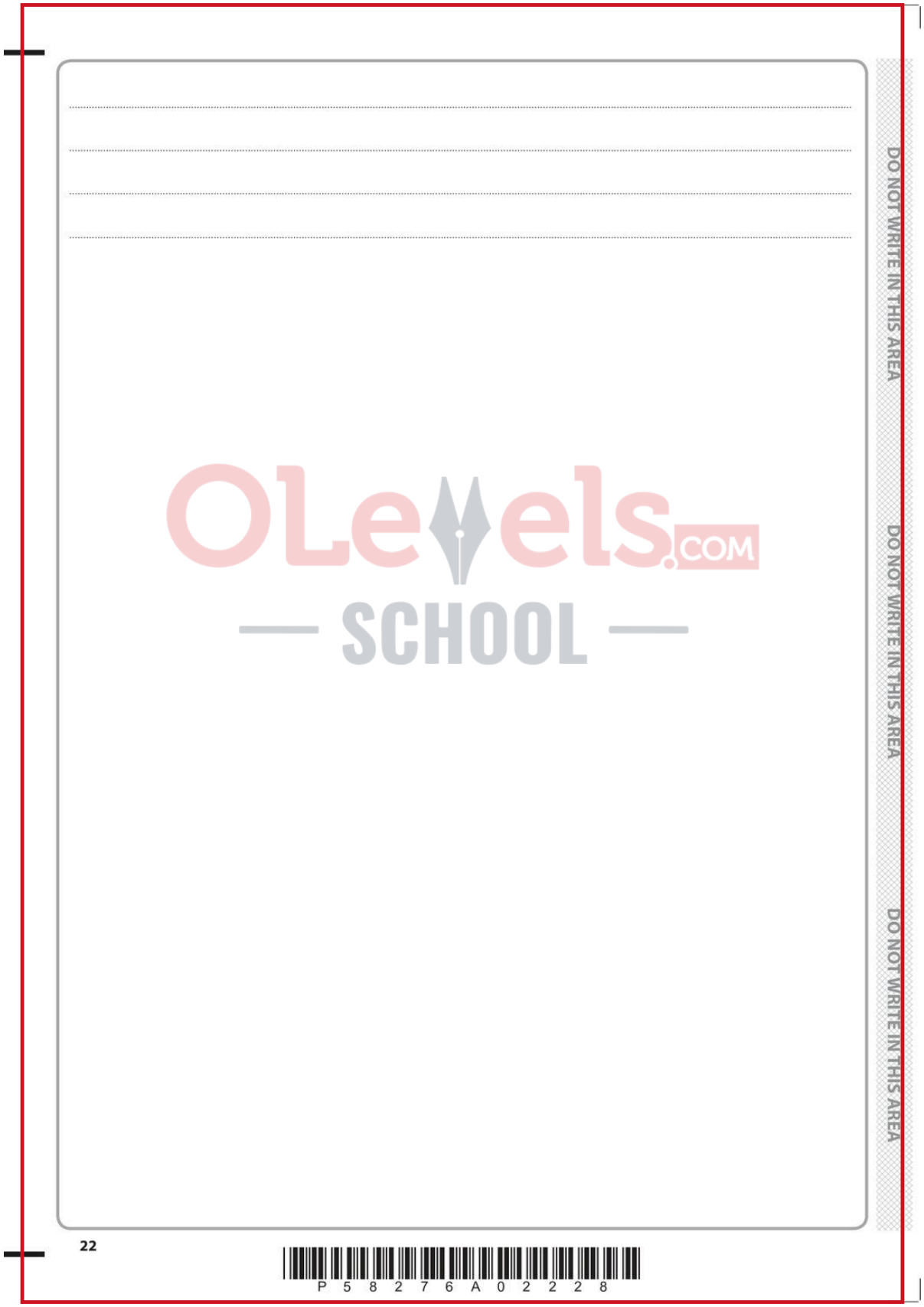
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3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.



3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

Wong Thien runs the family's noodle-making factory, which has been operating in Jenjarum, Malaysia since 1950. The noodle-making process involves each worker blending ingredients to make dough, kneading the dough with long wooden rolling pins and cutting noodles to various sizes. Wong's factory now supplies 70% of the noodle-based food stalls in the town. He is considering introducing division of labour in the production process in order to increase productivity.

(c) With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Wong to increase productivity in his noodle-making factory.

(12)

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3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 3 · part a · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Car production is most likely to take place in which sector of the economy?

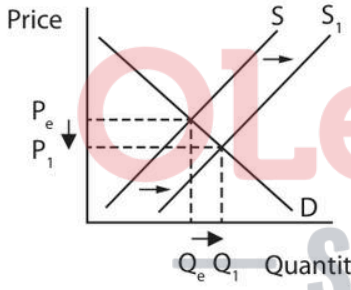
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

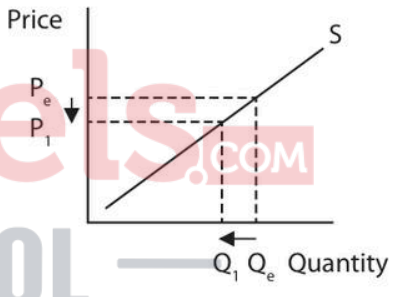
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

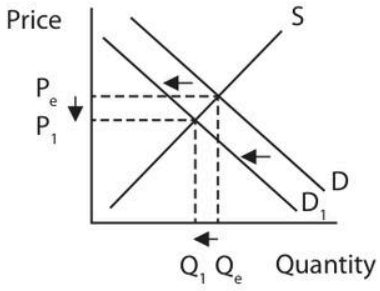
☒ **A**



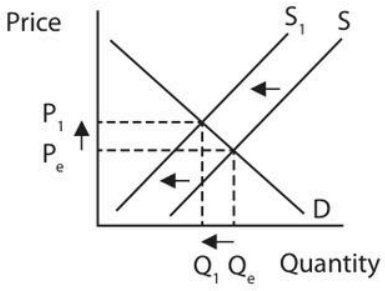
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

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(e) Define the term external benefit.

(1)

5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

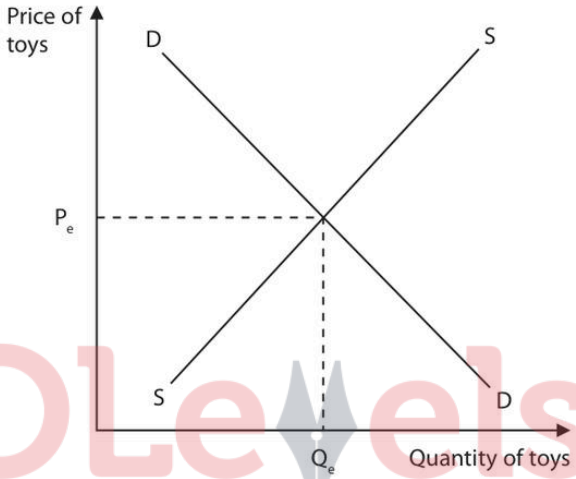


Figure 2

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5. Question 1 · part h · 3 marks

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Further practice · Attempt part h only.

Virgin Atlantic took over a part of budget airline Flybe in the spring of 2019 to form Connect Airways.

(h) Explain **one** possible advantage for customers of Connect Airways from the takeover.

(3)

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

A powerful typhoon destroyed property on the island of Lamma in Hong Kong. Owners of restaurants that were damaged think it may take two or three months for them to fully reopen. This was due to flood damage and replacing equipment that was washed away. The repair costs for one restaurant owner was an estimated HK$300 000 to HK$400 000.

(Source adapted from: https://www.scmp.com/news/hong-kong/society/article/2164928/long-road-recovery-hong-kongs-outlying-islands-after-typhoon)

(i) With reference to the data above and your knowledge of economics, analyse how natural factors such as adverse weather may cause a shift in the supply curve.

(6)

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5. Question 1 · part h · 3 marks · Working and answer

Working and answer

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6. Question 2 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

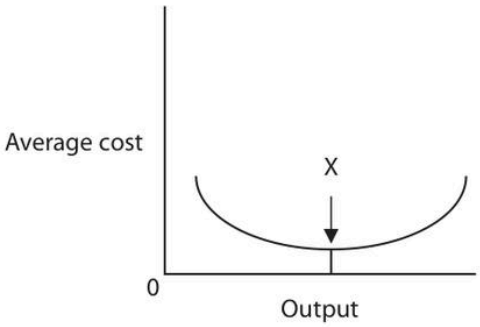


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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6. Question 2 · part a · 1 mark · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

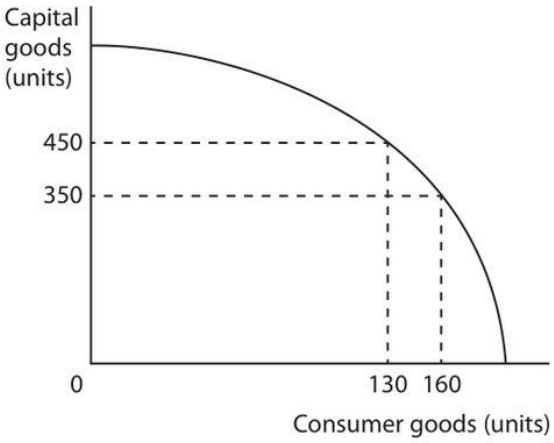


Figure 6

(a) When the current level of output is 350 units of capital goods, calculate the **opportunity cost** of producing an additional 100 units of capital goods. You are advised to show your working.

(2)

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P 6 2 6 4 1 R A 0 2 0 2 8

7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

Five years ago Ben Hogan began working for a large firm based in London. He was originally happy with his role but is now thinking about leaving. He is frustrated with how long it takes for even straight-forward decisions to be made.

The firm has grown considerably in the last two years and there are many more employees as a result. There is an increasing number of checklists about how to carry out tasks. Ben finds this time-consuming and feels his ideas are no longer listened to.

(b) With reference to the data above and your knowledge of economics, analyse why Ben's employer might be experiencing diseconomies of scale.

(6)

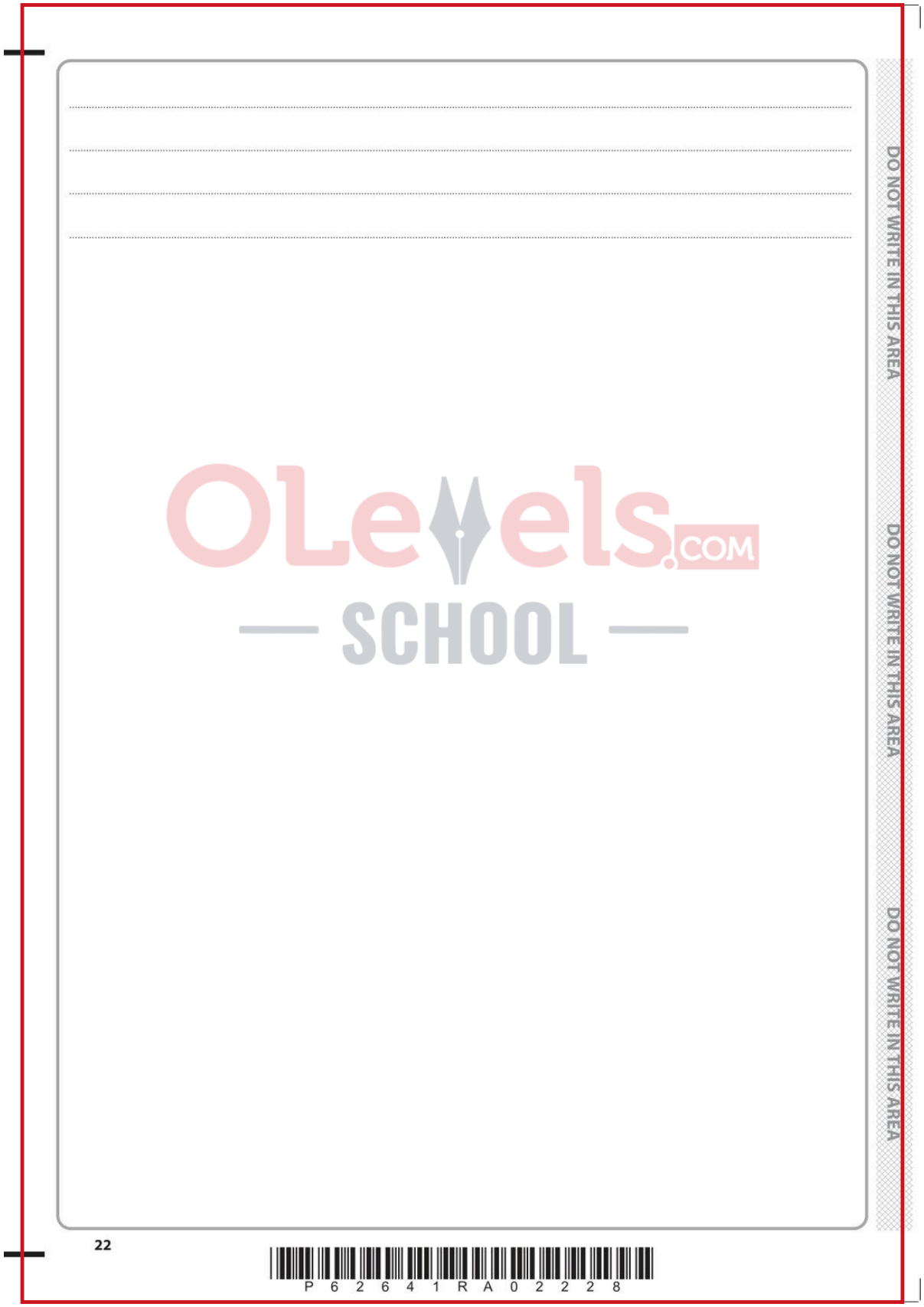
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7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.



7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

Amazon Prime Video is a multinational entertainment provider. It streams films and television shows to subscribers through the internet. In Japan, Amazon holds 11.5% of the market share. This is higher than Netflix but less than dTV, U-NEXT and Hulu. Subscribers currently pay 3 900 yen ($36.75) for annual membership to stream from Amazon, which is cheaper than its competitors.

(Source adapted from: https://variety.com/2018/tv/news/amazon-netflix-gain-ground-japan-streaming-1202729953/)

(c) With reference to the data above and your knowledge of economics, evaluate the importance of income elasticity of demand (YED) for Amazon Prime Video as incomes in Japan increase.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)



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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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Each year the Turkish Government raises the national monthly minimum wage. It increased from 2 020 Turkish Lira (TRY) in 2018 to 2 558 Turkish Lira (TRY) in 2019.

(d) With reference to the data above and your knowledge of economics, analyse why the Turkish Government might want to increase the minimum wage every year.

(6)

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

Istanbul's new airport will be huge in size and capacity when construction is finished. It will have the ability to handle around 200 million passengers annually. This is double the number of the world's current busiest airport in Atlanta, USA. The airport will cost $11.7bn to build. It will have four terminals, six runways and cover an area of 29.5 square miles, making it larger than the island of Manhattan in New York.

(Source adapted from: https://matadornetwork.com/read/istanbul-new-airport-biggest-world/)

(e) With reference to the data above and your knowledge of economics, assess whether Istanbul's new airport is likely to benefit from internal economies of scale.

(9)

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P 6 2 0 3 0 A 0 1 6 2 4

8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.



8. Question 3 · part e · 9 marks · Working and answer

Working and answer

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9. Question 1 · part c · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

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(c) What is meant by the term economies of scale?

(2)

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9. Question 1 · part c · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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9. Question 1 · part c · 2 marks · Working and answer

Working and answer

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10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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P 6 5 8 9 7 R A 0 3 2 0

3

Turn over ▶

10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects on the market for smartphones following a rise in the cost of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

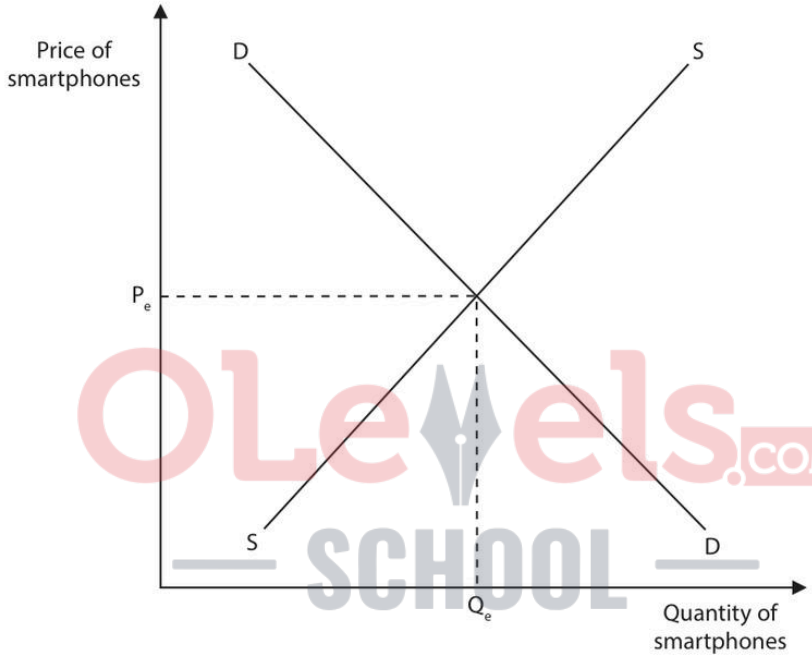


Figure 1

The New Zealand Government is to introduce new legislation to limit the interest rate firms can charge on loans made to customers. The maximum interest rate firms can charge will be 0.8% per day.

(h) Explain **one** reason why the New Zealand Government may be introducing this legislation.

(3)

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10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

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Cutting Edge is a gardening firm that started trading three years ago. It often turned down work because it did not have a saw powerful enough to cut through larger trees. Once the firm expanded, Cutting Edge was able to justify buying a bigger saw.

(i) With reference to the data above and your knowledge of economics, analyse how Cutting Edge benefitted from technical economies of scale.

(6)

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(Total for Question 1 = 20 marks)

10. Question 1 · part i · 6 marks · Working and answer

Working and answer

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 A concert venue in Malaysia holds a maximum of 3,200 people for each performance. The quantity of tickets demanded for the most recent concerts is shown in Figure 5.

Concert	Quantity of tickets demanded
A	4,200
B	6,000
C	3,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three concerts totals 9,600. You are advised to show your working.

(2)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

The Cuban Government owns and runs most industries in the country and more than 75% of the labour force is employed by the state.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of having a large public sector to a country such as Cuba.

(6)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Instagram, WhatsApp and Facebook Messenger are social network messaging services, taken over and owned by Facebook. Between them, they have more than 2.6 billion users. Although they currently operate as stand-alone apps, Facebook's chief executive, Mark Zuckerberg, has now taken greater control of all three. He has plans to combine the services, allowing messages to be sent between the different apps.

Both Instagram and WhatsApp have grown considerably since the takeover but their original founders have left due to the increased control from Facebook. Some employees are unhappy and do not understand the planned changes to the services. However, Zuckerberg thinks there will be long-term benefits including reduced costs. He says that less software will be needed once the system is in place and consumers will be less likely to use competitors' apps.

(Source adapted from: https://www.nytimes.com/2019/01/25/technology/facebook-instagram-whatsapp-messenger.html)

(c) With reference to the data above and your knowledge of economics, evaluate whether Zuckerberg's decision to combine all three services is likely to lead to economies of scale.

(12)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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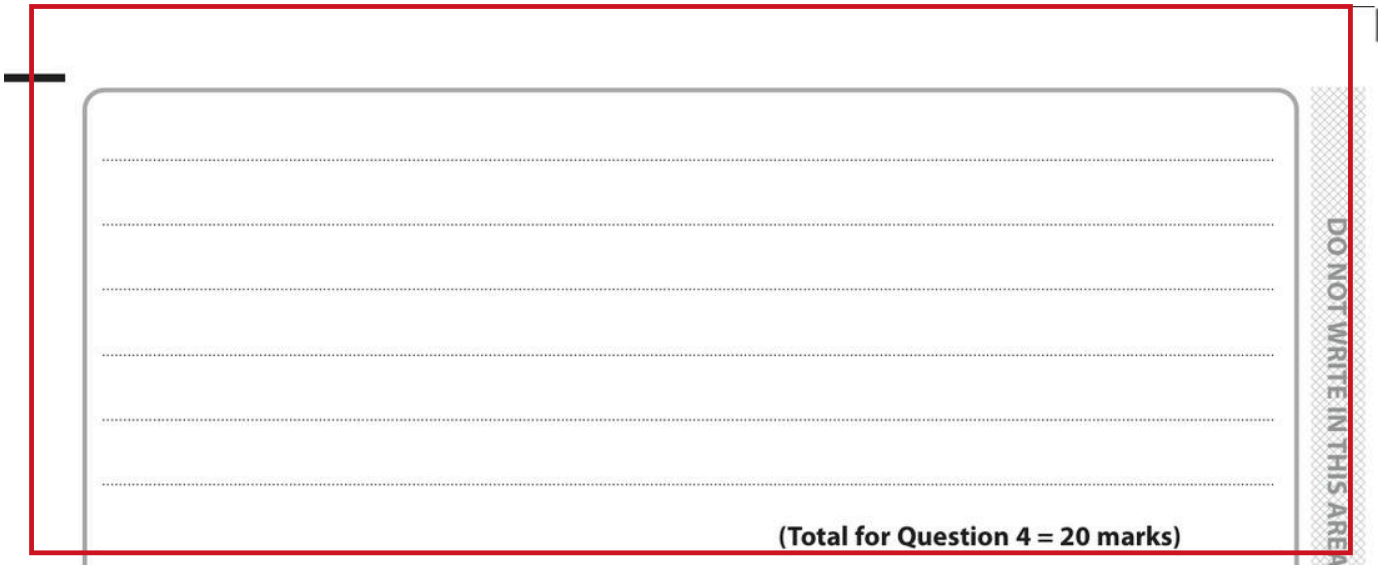
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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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11. Question 4 · part c · 12 marks · Working and answer

Working and answer

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12. Question 2 · part b · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

(c) State **one** disadvantage to firms of increased competition.

(1)

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12. Question 2 · part b · 1 mark · Working and answer

Working and answer

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13. Question 1 · part d · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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13. Question 1 · part d · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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13. Question 1 · part d · 1 mark · Working and answer

Working and answer

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14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

2

Chart to show market share held by firms within a market

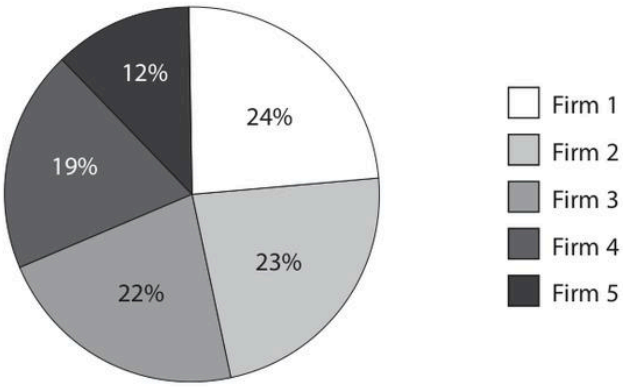


Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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P 7 1 5 5 5 A 0 8 2 4

14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

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Heather runs a successful restaurant in a small town in Portugal. When her friend asked whether she was going to expand by opening another restaurant, Heather said she was not.

(f) Explain **one** reason why Heather may have decided to keep her business small.

(3)

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14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

Hong Kong telecommunications firm, CK Hutch, is planning to merge with Indosat which is based in Jakarta, Indonesia. Indosat provides services for mobile phones and broadband. It is a growing business, with a value of $2.2bn and more than 60 million customers. Indonesia is Southeast Asia's most populated country.

(Source adapted from: https://www.zdnet.com/article/ck-hutchison-and-ooredoo-indonesian-merger-to-create-indosat-ooredoo-hutchison/)

(g) With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale.

(9)

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14. Question 2 · part g · 9 marks

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Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

14. Question 2 · part g · 9 marks · Working and answer

Working and answer

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15. Question 1 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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15. Question 1 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

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15. Question 1 · part c · 2 marks · Working and answer

Working and answer

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

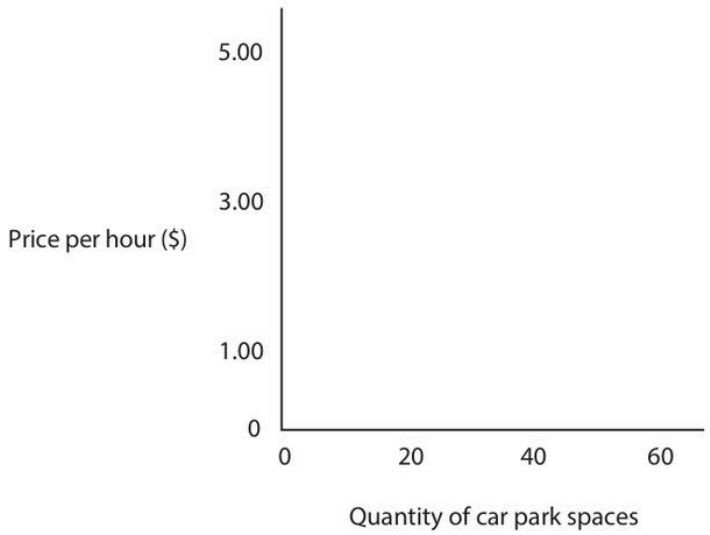
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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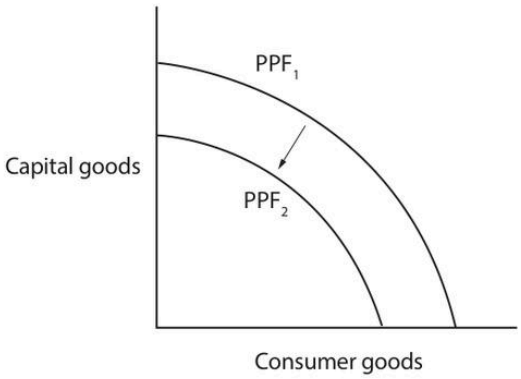


Figure 4

Figure 4 shows an inward shift in the production possibility frontier (PPF) for an economy.

(d) With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. (6)

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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In 2022, two entertainment firms WarnerMedia and Discovery are expected to merge. The new firm will be called Warner Bros. Discovery. It is predicted it will have 59 million subscribers to its merged streaming services. This will increase further if plans to release several new programmes go ahead.

The new firm will have assets that include: many popular television channels; film, animation and television studios; DC Comics; and news channel CNN. The new company will have an estimated value of $150bn.

(e) With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale.

(9)

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

16. Question 3 · part e · 9 marks · Working and answer

Working and answer

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17. Question 1 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

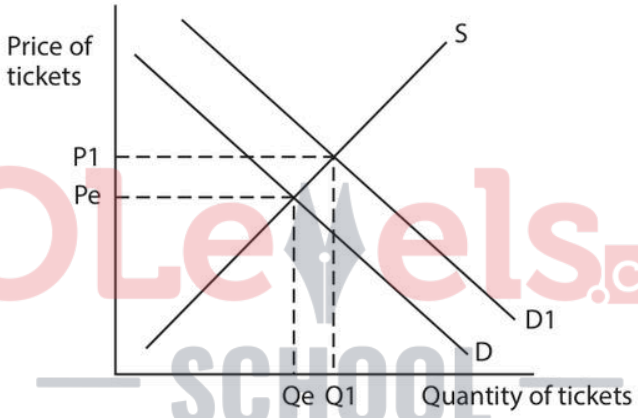


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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17. Question 1 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term economies of scale?

(2)

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(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

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17. Question 1 · part c · 2 marks · Working and answer

Working and answer

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18. Question 3 · part c · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

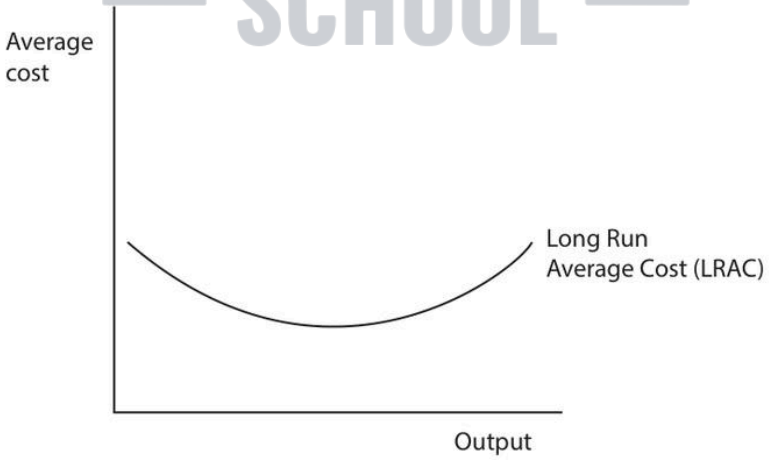


Figure 4

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18. Question 3 · part c · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

The education system in Japan is one of the best in the world. Primary and secondary education is free, with a typical school day from 08:00 to 15:00 or 16:00, depending on the age of the students.

(Source: adapted from https://www.internations.org/japan-expats/guide/education)

(d) With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit.

(6)

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18. Question 3 · part c · 3 marks · Working and answer

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19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

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4 Figure 3 shows the daily costs of hiring a vehicle to transport goods to a customer.

Vehicle hire cost ($ per day)	Fuel cost ($ per km)	Distance travelled (km)	Cost of insurance ($ per day)
90	0.25	65	20

Figure 3

(a) Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working.

(2)

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19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

MAS Supermarkets is the largest supermarket chain in Cyprus. It owns many shops across the country, selling a wide range of groceries. The firm states that its focus is on selling quality products, offering good service and low prices.

(b) With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets.

(6)

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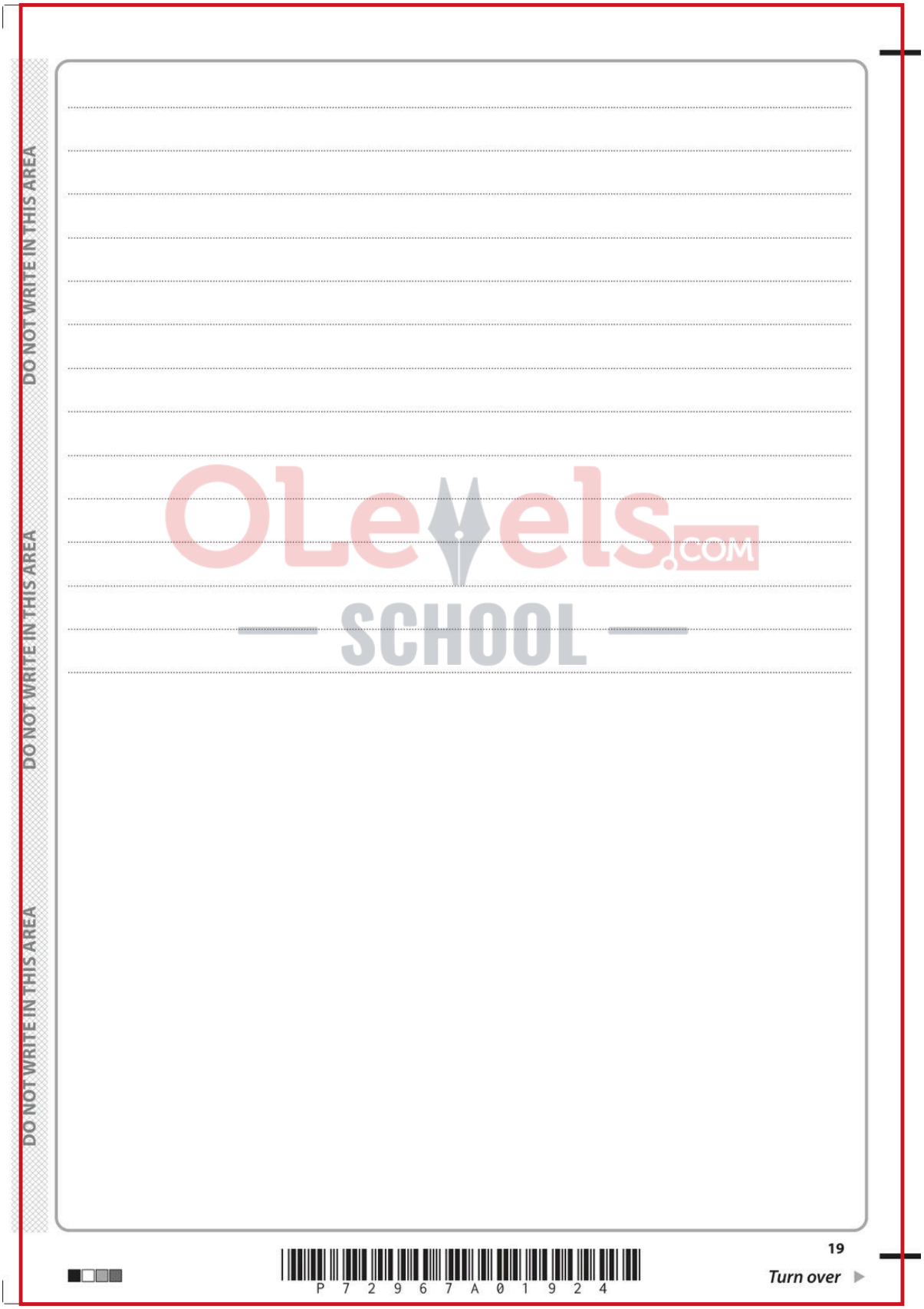
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19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.



19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

The largest airport in Nigeria is located in Lagos. The Nigerian Government has made several attempts to privatise the country's four main airports over recent years. This has been unsuccessful due to resistance from trade unions that have members at the airport.

However, recently there has been increased interest from a number of private investors. This is due to the growing population, increasing demand for flights to and from Lagos and a stronger industrial base in the country. This means privatisation of Lagos Airport is now more likely to happen.

Whilst under the control of the government, subsidies have been used to pay some of the costs to operate the airport, as well as to improve safety and airport facilities.

(c) With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the privatisation of Lagos Airport.

(12)

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19. Question 4 · part b · 6 marks · Working and answer

Working and answer

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

4 A factory has been unable to meet the demand for its product due to a shortage of raw materials. The quantity demanded for the product during each of the first three months of 2024 is shown in Figure 5.

Month	Quantity of products demanded
January	13,600
February	14,200
March	11,700

Figure 5

(a) Calculate the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.

(2)

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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Hiking is a popular activity for visitors to the Caribbean island of Saint Vincent. Tourists can hire a guide to accompany them on the popular route of La Soufrière Volcano by booking online before arriving on the island and the price is $34. However, the price is only $20 if the guide is booked directly on arrival. Some tourists have complained because they did not know this was possible.

(b) With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources.

(6)

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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Twitter, one of the most popular social media platforms, was bought for $44bn by entrepreneur Elon Musk in 2022.

The aims of Elon Musk include the creation of an 'everything app' – a platform that includes messaging, payments, ridesharing, food delivery and more. To support this, Elon Musk introduced major changes to Twitter, including renaming it 'X'.

The number of X users increased to a new high of 530 million by 2023, following an increase in publicity about the change of name. This meant X did not need to pay high advertising costs to promote the platform.

Advanced technology will be introduced by X to enable users to operate multiple functions on the new platform. This research and development is likely to lead to a significant cost for the firm.

The platform has experienced a decrease of 65% in advertising revenue. Thousands of workers have already lost their jobs, including those in managerial roles.

(c) With reference to the data above and your knowledge of economics, evaluate whether X is likely to benefit from economies of scale.

(12)

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P 7 5 9 5 4 A 0 2 1 2 4

21

Turn over

20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.



20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

20. Question 4 · part c · 12 marks · Working and answer

Working and answer

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21. Question 1 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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21. Question 1 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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21. Question 1 · part c · 2 marks · Working and answer

Working and answer

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22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

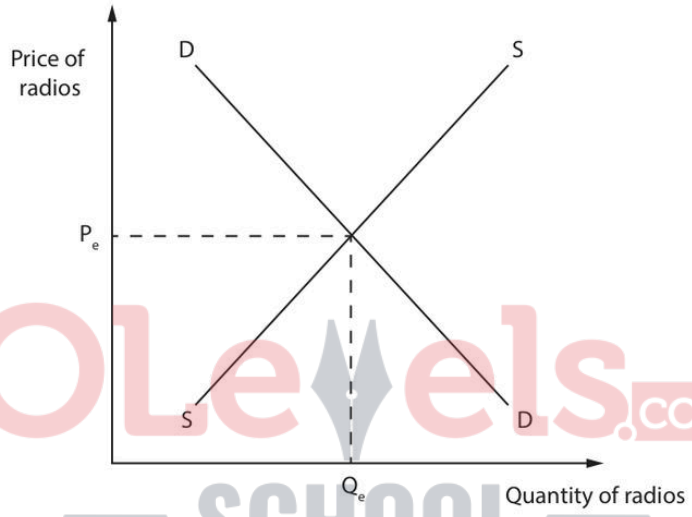


Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

(3)

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P 7 8 9 5 6 A 0 4 2 4

22. Question 1 · part h · 3 marks

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Further practice · Attempt part h only.

The US Government is taking legal action against six major firms that provide accommodation for rent. The firms are accused of collusion. Over 1 million properties are affected, at a time when tenants are struggling to afford rent.

(i) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent.

(6)

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22. Question 1 · part h · 3 marks · Working and answer

Working and answer

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23. Question 2 · part a · 1 mark

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Further practice · Attempt part a only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

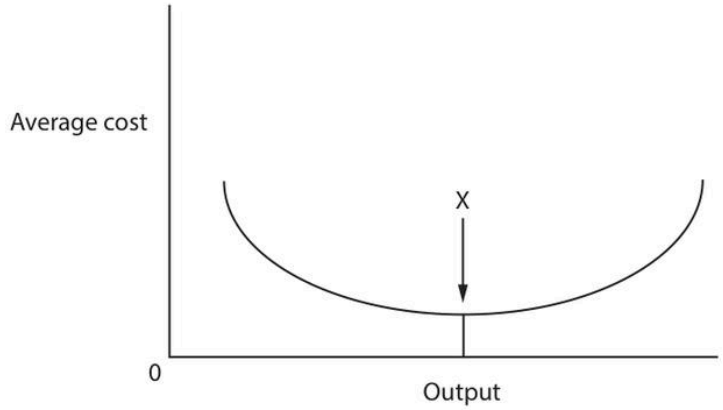


Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

23. Question 2 · part a · 1 mark · Working and answer

Working and answer

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24. Question 2 · part d · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

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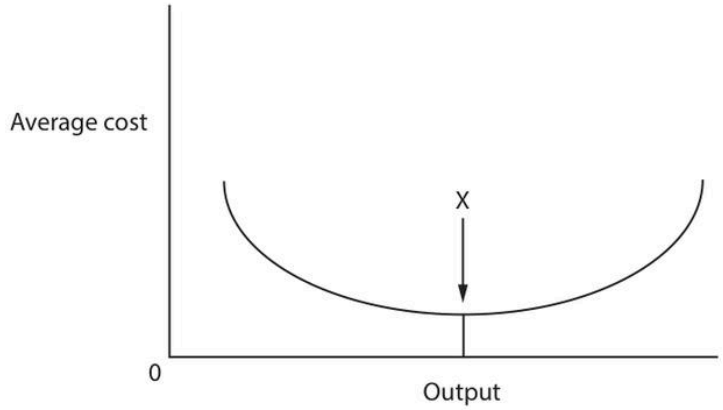


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24. Question 2 · part d · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

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(d) What is meant by the term bureaucracy?

(2)

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P 7 8 9 5 6 A 0 8 2 4

24. Question 2 · part d · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

(e) Describe **one** government policy to encourage positive externalities.

(2)

In 2024, it was recommended that additional funding should be provided for the drainage of farmland in India.

(f) Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.

(3)

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24. Question 2 · part d · 2 marks · Working and answer

Working and answer

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